

Docket 19-05, Demurrage & Detention Comments

BassTech International supports the FMC's proposed Interpretive Rule on Section 10(d) of the Shipping Act as applicable to demurrage and detention practices.

Our specific comments in response to the Commission's request for feedback are as follows:

Interruption in Availability

Demurrage and detention practices and regulations must provide for a suspension of charges when circumstances are such that demurrage and detention are incapable of serving their purpose to incentivize, such as during an interruption to availability. Following an interruption to availability, reasonable free time provisions must be sufficient to allow some amount of time for reacting to any notification and scheduling the collection from the pier and delivery to the receiver.

Under standard conditions, where vessel arrival and availability of an import container can be anticipated with some degree of accuracy by the importer, the available free time is used to efficiently organize the collection and receiving of those expected containers from the pier.

In the case of an unexpected interruption to availability, such as a government exam, or a weather incident, or a container becoming inaccessible on the pier, or a lack of available appointments at the terminal¹, the timing of the eventual (re-)availability is significantly less predictable for the importer. Therefore, it would be unreasonable for the importer to be afforded less free time than would be afforded for any newly available container.

Clearly, any shipment that has already been unexpectedly delayed will have a degree of priority for the importer and does not need further incentive. Therefore, the interpretive rule should acknowledge that, following an interruption to availability, free time will reasonably begin once containers are advised as (newly) available and will be not less than the free time normally provided to an expected container.

Empty Container Return

When a carrier's terminal interrupts or restricts acceptance of empties, (including through a requirement of "dual transaction only" returns), this not only interferes with efficient operations for the importer and their trucker, it can also result in significant expenses such as storage and chassis use. As the empty return is typically a planned event, designed to co-ordinate with other cargo movement within the port area to optimize efficiency, frequent revisions to empty acceptance without reasonable forward notification can have the effect of exacerbating congestion in the port area. Therefore, as outlined above regarding interruptions to cargo availability, the interpretive rule should also consider that reasonable detention free time will begin (anew) upon notification of terminal's elimination of impediments for the empty return, allowing for the efficient incorporation of that empty return move into any transport planning.

¹ A lack of terminal appointments during the free time period should be viewed like any other interruption of availability. Just as a driver might lodge a trouble ticket at the terminal if a container is unexpectedly unavailable at the pier, a dispatcher might lodge an appointment shortage ticket if a reasonable selection of appointments is not available within the free time period. In both of these instances, the terminal is granted some opportunity to immediately intervene and resolve but, barring that being accomplished, these instances would require free time to be addressed in the context of "interruption of availability".

Government Inspections

On the one hand, while it fails the “incentive principle” to charge an importer for demurrage or detention during a government inspection, there is some sympathy to consider that a mitigated or capped charge arrangement as suggested in the proposed Interpretive Rule could be seen as reasonable in order to compensate for use of land and equipment. On the other hand, various parties including terminal, carrier, government and CES personnel, are involved in facilitating the availability of the container for inspection, often including the removal and return of the container between the pier and the CES. The one party who has typically no ability to directly influence the speed of the exam process is the importer. Therefore, it seems more reasonable that anyone but the importer should bear the burden of cost for any use of land or containers, values which, in any case, are not likely to be easily agreed.

It may be worth mentioning that this approach preventing the application of detention or demurrage charges during a government exam assumes no negative conclusion from any cargo inspection, otherwise the responsible importer would bear the costs of any reasonably applied demurrage and detention charges in addition to any other consequences of the deficiency or malfeasance.

Billing

The FMC’s investigation sought to clarify the murky situation where carriers and terminals were occasionally both billing the importer for some charges that related to the same failure to collect a container within the free time. To this end, we suggest that the importer should receive billing only from their contract party, the ocean carrier. While some of the largest importers may be negotiating demurrage terms directly with terminal operators, this can be seen as exceptions to the norm and can be recorded as an exception in any agreements that the importer has with their ocean carriers. For the majority of importers, however, the commercial relationship exists only between themselves and the ocean carrier. It is therefore the ocean carrier who should be responsible to administer the billing of those charges and all that goes with it including the correct application of agreed terms and any credit arrangements, sufficient supporting information for the assessed charges, fielding of disputes or inquiries and so on.

Should there be compelling arguments for demurrage charges to be billed by the marine terminal rather than the ocean carrier, it would be reasonable to review marine terminal tariff demurrage charge levels since it is uncertain that the values being remitted to marine terminal operators today by ocean carriers after they bill and collect from the importer is near to those levels. Rather, the amount remitted to the terminal by the ocean line will presumably be based on their confidential contract arrangements, with the balance held by the ocean carrier as a form of additional compensation. A shift to the billing party may have the additional consequence of a change in revenue for each the two parties, perhaps inviting further unintended consequences.